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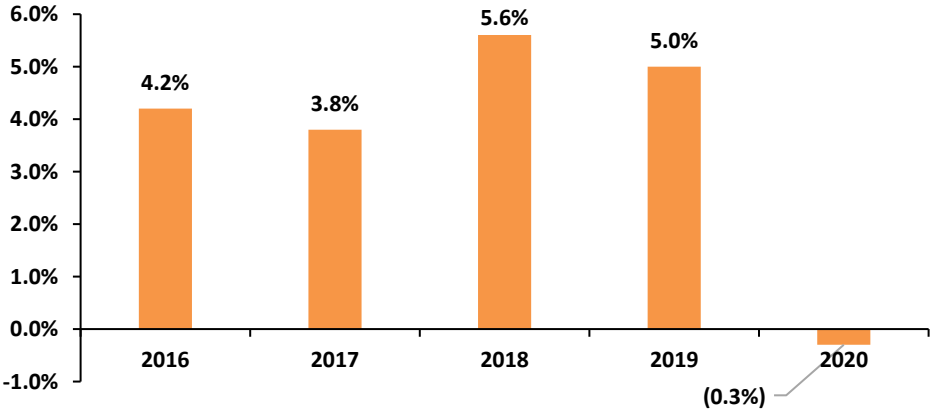
Subdued GDP Growth

KNBS released the economic growth figures that paint a picture on the effects of the pandemic on the various sectors of the economy. GDP growth, as measured at market price, contracted by **0.3%** in 2020 compared to a **5.0%** growth recorded in 2019.

The negative growth was mainly driven by dismal performances by sectors such as; Accommodation and food services, Education, as well as Transport and storage. The performance recorded by this sectors was expected as they were the most severely affected by the COVID19 pandemic. However, the decline was mitigated by growths recorded by sectors such as Agriculture, construction, Real Estate and Financial services.

KNBS also revealed that it had revised and rebased the national accounts, subsequently changing the base year from 2009 to 2016. The rebasing is meant to reflect the changes attributable to new trends like digitization, new types of transactions and advancements in technology. The last rebasing happened in 2014 where the base year was changed from 2001 to 2009. The main effect of the rebasing is the **4.85%** increase in the Nominal GDP to **KES 10,753.0 Bn** from the previous **KES 10,255.70 Bn** in 2019.

Graph 1: GDP Growth



Source: KNBS

Key Highlights:

- The annual inflation increased to **5.4%** in 2020 from **5.3%** recorded in 2019. The increase was partly attributable to supply chain disruptions and restrictive measures that drove up prices of commodities.
- The current account balance deficit narrowed to **KES 491.7Bn** in 2020 from **KES 539.2 Bn** in 2019, mainly due to low imports from major trading partners who had enforced lock downs and restriction of movement. The current account as a percentage of GDP improved to **(4.6%)** in 2020 compared to **(5.3%)** in 2019, and,
- The number of tourist arrivals declined by **71.50%** to **579,000** from **2,035,400** in 2019. Subsequently, the earnings from tourism declined by **43.90%** to **KES 91.7 Bn** in 2020.

September 10th , 2021

Sovereign Credit Rating:

Moody's: B2 (negative)

Fitch: B+ (negative)

S&P: B (stable)

GDP Growth (2020) : (0.3%)

August Inflation: 6.57%

Interbank rate (09th Sept 2021): 3.62%

C.B.R (July 2021): 7.00%

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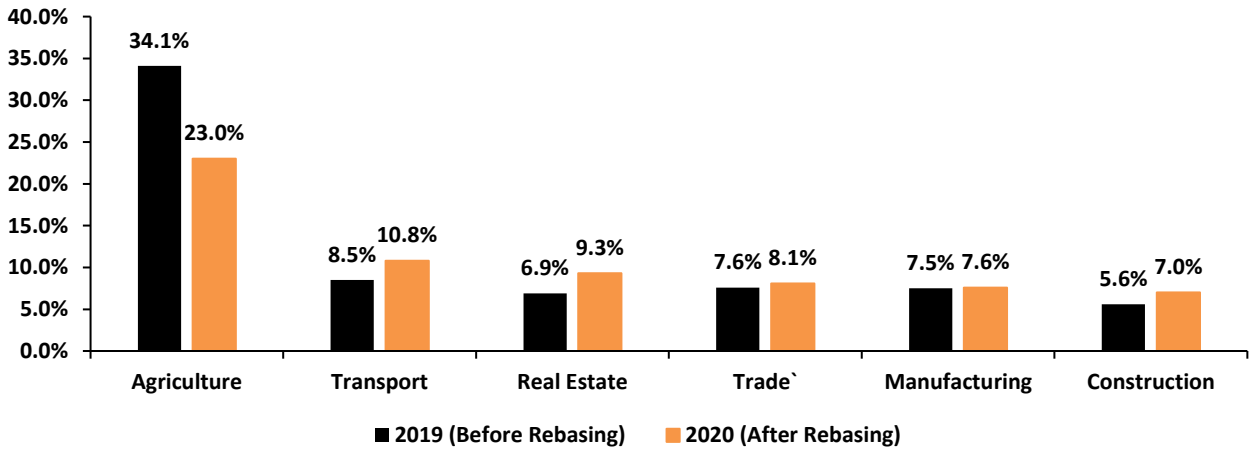
Agriculture remains a key contributor

Agriculture remained as the largest contributor to the economy at 23.0% which was a 1.7% points increase from 21.3% contributed in 2019 but 11.1% points lower than the pre-rebasing contribution of 34.1%. The continued dominance by the agricultural sector is attributable to a 6.0% growth in growth of crops and 3.6% growth in animal production. Other key contributors included; Transport (10.8%), Real Estate (9.3%) and wholesale and retail Trade (8.1%). On the other hand, the education sector was the largest decliner in GDP contribution having declined by 0.4% points to 3.8% in 2020 from 4.2% in 2019.

Our major concern is the continued decline in the contribution of the manufacturing sector to the GDP, with the sector contributing 7.6% in 2020 which is a 0.3% points decline from the 7.9% in 2019 compared to a high of 9.3% in 2016. This would mean that the sector has been growing albeit at a slower pace than other sectors in the economy.

Additionally, the largest reduction of 11.1% points by agriculture's contribution to the GDP after the rebasing can be attributable to improvements in other upcoming sectors such as ICT, Art, entertainment and recreation.

Graph 2: Sector contributions



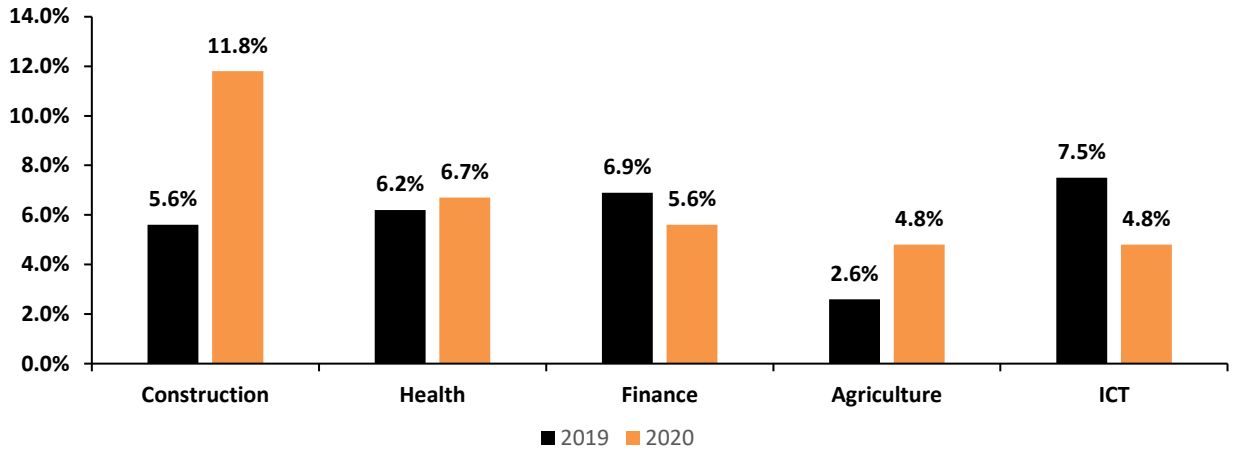
Source: KNBS

Construction and Health the best performing sectors

Construction was the best performing sector as it recorded the highest growth of 11.8% in 2020 compared to a 5.6% growth in 2019. The growth is attributable to the key infrastructure developments such as the Nairobi Expressway, Kisumu Port, Lamu Port, Likoni upfloating Bridge and other Road's construction projects Conversely, cement consumption edged up by 21.3% to 7.4Mn tones in 2020 from 6.1Mn tones in 2019. Additionally, the Big4 agenda on Affordable housing also contributed an additional 2,670 housing units in 2020. Loans advanced to the sector also increased by 3.4% to KES 119.70 Bn from KES 115.80 Bn in 2019.

Health sector was the second-best performer, which was expected, given that there was an increase in activity in the sector during the pandemic. The sector grew by 6.7% in 2020 which was 0.5% points higher than the 6.2% growth in 2019. The growth was mainly on account of a 34.5% increase in national government expenditure on the sector to KES 103.13 Bn in FY2019/20 from KES 76.68 Bn in FY 2018/19. Furthermore, FY 2020/21 estimates indicate a further 16.17% increase to KES 119.80 Bn.

Graph 3: Best Performing Sectors

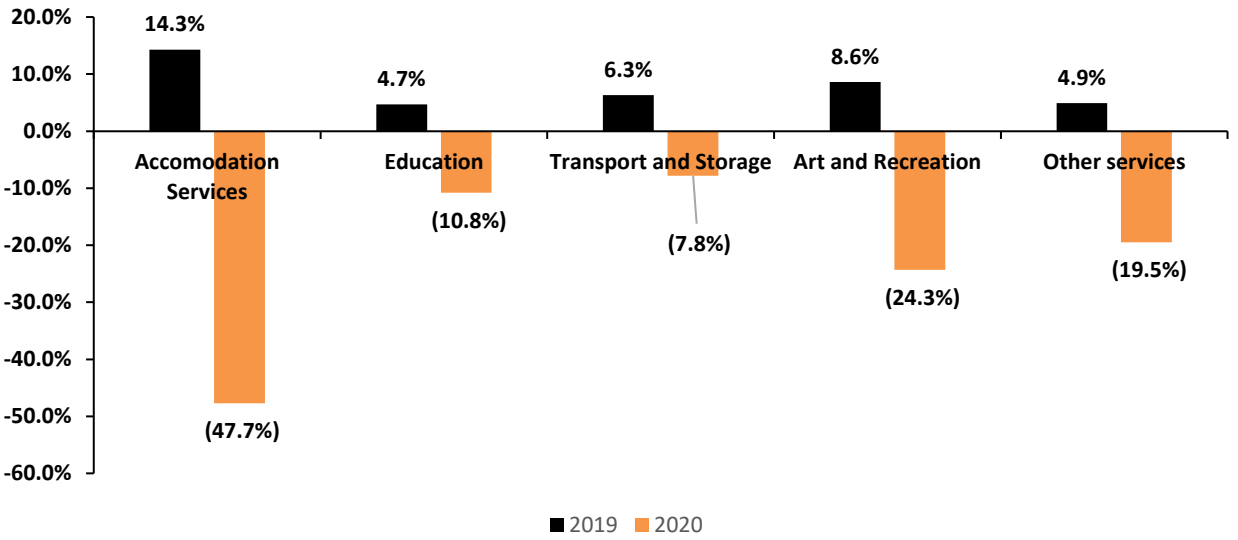


Source: KNBS

Education and Accommodation and food services the poor performers

Accommodation and food services recorded the largest contraction by 47.7% compared to a 14.3% growth in 2019. Arts, entertainment and recreation contracted by 24.3% in 2020 from a growth of 8.6% in 2019, mainly due to the imposition of social distance rules, curfew hours and the full closure of entertainment joints. The education sector contracted by 10.8% compared to a 4.7% growth in 2019. The decline was mainly attributable to the secondary education contracting the most by 16.5% compared to an 8.0% growth in 2019. The contraction in the above sectors was expected as they were the most affected by the restriction of movement and lockdowns imposed by the government locally and globally due to the COVID-19 pandemic.

Graph 4: Worst performing Sectors



Source: KNBS

2021 Outlook:

We expect a pick-up in economic growth and an improved performance in 2021 mainly due to increased economic activity. The improvement will mainly come at the back of the gradual easing of some of the restrictive measures in sectors such as transport and storage, as well as the re-opening of sectors such as education and accommodation and food services. The following sectors are likely do perform better:

- **Health services:** We expect a continued development expenditure in the sector by both the national and county governments. The health risk from the pandemic persist and the vaccination efforts are expected to drive growth and further expenditure into the sector,
- **Accommodation and Food Services:** The easing of travel restriction has already seen an improved both local and international tourist numbers in 2021. Furthermore, we expect that the removal of Kenya in the "Red Zone List" by key tourist source countries in Europe and North America will further boost the sector,
- **Art, entertainment and Recreation:** The removal of travel restrictions and relaxation of curfew hours will be a big boost to the sector. However, some of the sector players have adopted virtual concerts and social media platforms that are generating income and do not require the restrictive social distancing requirements,
- **Transport and Storage:** The easing of some of the social distancing restrictions will be a huge positive for the sector, for example the allowing of public transport vehicles to carry at full capacity as well as avoidance of further local travel restrictions, and,
- **Information and Communication:** This sector is expected to benefit as people continue to work remotely and limit their movement. The number of fibre to home broadband subscriptions increased by 67.6% in 2020 to 340,271 while fibre to office subscription declined by 8.6% in 2020 to 60,079.

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